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MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION APRIL 2026

SECOND SEMESTER

Discipline Specific Core Course (DSC) - MG2DSCTTM100 - TOURISM BUSINESS MANAGEMENT

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 30 Minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Short Answer Questions

Answer any **5** questions. Each question carries **2** marks

1. Define vertical integration **[K] / [CO1, CO3]**

Vertical integration is a business strategy in tourism where a company expands its operations by controlling different stages of the supply chain, such as transport, accommodation, and travel services, to improve efficiency and reduce costs.

2. What is a VFR trip? **[U] / [CO2]**

A VFR trip (Visiting Friends and Relatives trip) is a type of tourism where people travel primarily to visit friends or family rather than for leisure, business, or other purposes.

3. Who is known as the father of travel agency business and why? [U] / [CO2]

Thomas Cook is known as the father of the travel agency business because he organized the first packaged group tour in 1841, arranging transport, accommodation, and meals for travelers at a fixed price, which laid the foundation for modern travel agency operations.

4. What is tour operation? **[U] / [CO2]**

Tour operation is the process of planning, organizing, and managing travel packages that include services like transport, accommodation, sightseeing, and other travel arrangements for tourists.

5. State two challenges faced by the tourist transport industry. **[K] / [CO3]**

Seasonal demand fluctuations, High operating costs

6. Explain high-speed rail network? [U] / [CO3]

A high-speed rail network is a modern railway system that uses specially designed trains to operate at very high speeds, usually above 250 km/h, connecting major cities quickly and efficiently. It reduces travel time, improves comfort, and provides a reliable and eco-friendly alternative to road and air transport in tourism.

7. What is a convention hotel? [K] / [CO4]

A convention hotel is a large hotel designed to host meetings, conferences, exhibitions, and events, with facilities like banquet halls, meeting rooms, and conference centres to support business and MICE tourism.

8. What is event marketing? [U] / [CO4]

Event marketing is the process of promoting a product, service, or destination by organizing or sponsoring events such as festivals, exhibitions, conferences, or cultural programs to attract and engage target audiences.

[2x5 = 10]

Part B

Short Essay Questions

Answer any **5** questions**.** Each question carries **5** marks

9. Explain the Transportation sector in the tourism industry. [U] / [CO1, CO3]

The transportation sector in the tourism industry includes all services that help tourists move from one place to another, such as airlines, railways, road transport, and water transport. It plays a key role in connecting destinations, ensuring comfort and safety, reducing travel time, and making tourism experiences more accessible and convenient.

10. Summarize the tour operation companies and the hotels inter-linked? [U] / [CO2]

Tour operation companies and hotels are closely inter-linked in the tourism industry as they depend on each other to provide complete travel services. Tour operators design and sell travel packages that include hotel accommodation, while hotels rely on tour operators to bring a steady flow of guests.

This relationship helps both sectors increase business efficiency and occupancy rates. Tour operators negotiate bulk bookings and better rates with hotels, which reduces costs for tourists. In return, hotels get assured bookings and wider market reach.

Thus, their partnership ensures smooth travel experiences, better customer satisfaction, and growth in tourism business.

11. Describe the functions of travel agency? [U] / [CO2]

Provides ticketing services for air, rail, road, and sea transport, arranges hotel accommodation, designs and sells tour packages, offers travel information and guidance, organizes customized and group tours, assists with visa and passport formalities, arranges travel insurance, provides foreign exchange services, coordinates with airlines, hotels, and tour operators, and ensures a smooth and hassle-free travel experience for customers.

12. Discuss the functions of tour operators? [U] / [CO2]

Design and organize travel packages combining transport, accommodation, sightseeing, and meals; negotiate with service providers like airlines and hotels for better rates; plan itineraries and tour schedules; manage bookings and reservations; provide travel information and customer support; handle group and customized tours; and ensure safety and customer satisfaction throughout the journey.

13. Discuss the advantages and challenges of ferry transport for tourism. [K] / [CO3]

Advantages of ferry transport include providing scenic travel experiences, being cost-effective, connecting island and coastal destinations, reducing road congestion, and carrying both passengers and vehicles, while **challenges** include dependence on weather conditions, slower travel time, limited routes and schedules, overcrowding during peak seasons, and safety risks in rough sea conditions.

14. Explain the role of air cargo services in supporting international trade and tourism. [K] / [CO3]

Air cargo services support international trade and tourism by enabling fast movement of goods, transporting high-value and perishable items, supporting global supply chains, supplying hotels and tourism businesses with essential goods, facilitating transport of event and promotional materials, supporting smooth tourist movement through efficient luggage and charter operations, and enhancing global connectivity and industry efficiency.

15. What are floating hotels? Explain with an example. [U] / [CO4]

Floating hotels are accommodation facilities built on water such as boats or ships that provide hotel-like services including rooms, food, and entertainment while offering a unique travel experience.

Example: Houseboat tourism in the Alleppey Backwaters, where traditional houseboats (kettuvallams) are converted into floating hotels that allow tourists to stay and travel through scenic backwaters while enjoying food and accommodation onboard.

16. Explain how hotel grading affects pricing. [U] / [CO4]

Hotel grading directly affects pricing because higher-rated hotels (such as 4-star and 5-star) offer better facilities, luxury services, and higher comfort levels, which allow them to charge premium prices. Lower-graded hotels provide basic services and therefore have more affordable pricing. Grading also influences customer expectations and demand; higher-category hotels attract business travelers and luxury tourists who are willing to pay more. In contrast, budget or economy hotels target price-sensitive tourists. Thus, hotel grading helps set price standards based on quality, services, location, and brand reputation in the tourism market.

[5x5 = 25]

Part C

Long Essay Questions

Answer any **1** questions**.** Each question carries 1**5** marks

17. Discuss the skills needed in the tour operator [U] / [CO2]

A tour operator needs communication skills to interact with clients and suppliers, organizational and planning skills to design itineraries, customer service skills to ensure satisfaction, negotiation skills to get best deals, problem-solving skills to handle emergencies, destination knowledge and cultural awareness, and basic IT skills for managing bookings and online systems.

18. Explain the role of smart technologies can enhance the road transport experience for the tourist. [U] / [CO3]

Smart technologies enhance the road transport experience for tourists by making travel more convenient, safe, and efficient. GPS and navigation apps help tourists find the best routes and avoid traffic congestion. Mobile apps and online booking systems allow easy reservation of taxis, buses, and rental vehicles. Real-time tracking systems provide updates on vehicle location and arrival time, improving reliability. Smart payment systems such as digital wallets and contactless payments make transactions faster and easier. In addition, AI-based travel assistance and smart traffic management improve safety, reduce delays, and ensure a smoother travel experience for tourists.

19. Discuss the advantages and disadvantages of budget hotels. [A] / [CO4]

Budget hotels offer several advantages such as affordable pricing, making them suitable for cost-conscious tourists and backpackers. They provide basic but essential facilities like clean rooms, food services, and simple accommodation, ensuring value for money. They are also widely available, especially in tourist destinations, making travel more accessible.

However, budget hotels also have disadvantages such as limited amenities and services compared to higher-category hotels. They may lack luxury, space, and advanced facilities like gyms, pools, or business centres. Service quality can be inconsistent, and comfort levels may be lower. In some cases, maintenance and hygiene standards may also vary, affecting the overall guest experience.

[15x1 = 15]